and Company B of one cent. Now let us suppose that costs remain the same but a temporary extra demand for widgets pushes up the price to twelve cents, with both companies remaining the same size. The strong company has increased profits from four cents per widget to six cents, a gain of 50 percent, but the high-cost company has made a 300 percent profit gain, or tripled its profits. This is why, short-range, the high-cost company sometimes goes up more in a boom and also why, a few years later, when hard times come and widgets fall back to eight cents, the strong company is still making a reduced but comfortable profit. If the high-cost company doesn't go bankrupt, it is likely to pro-duce another crop of badly hurt investors (or perhaps speculators who thought they were investors) who are sure something is wrong with the system rather than with themselves.

All of the above has been written with manufacturing companies in mind; hence the term *production* has been used. Many companies, of course, are not manufacturers but are in service lines, such as wholesal-ing, retailing or one of the many subdivisions of the financial world such as banking or insurance. The same principles apply, but the word *opera-tions* is substituted for *production* and a low- or high-cost operator for a low- or high-cost producer.